4Color Market Observation Framework

Below is the **practical reading table** for the **4Color Candle Logic in CFE / FVG Execution Logic™**.

Core Principle

Price candles show **behavior**, not prediction.

4-Color Candle Reading Table

Candle	Core Meaning	Long Wick Up	Long Wick Down	Location Meaning	When It Flips Role
🟢 **Green**	Aggressive buyers / bullish pressure	Buyers rejected higher price (profit taking or seller defense)	Buyers absorbing sellers → bullish continuation	Appears after **Yellow or liquidity sweep** → confirms buyers stepping in	At **swing high** with long upper wick → behaves like **Blue (resistance)**
🔴 **Red**	Aggressive sellers / bearish pressure	Sellers rejecting higher liquidity	Sellers taking profit or buyers absorbing	Appears after **Blue or distribution** → confirms sellers in control	At **swing low with long lower wick** → behaves like **Yellow (liquidity)**
🔵 **Blue**	Structural swing high / accumulation top / resistance	Strong rejection → confirms resistance	Rare but means buyers trying to push	Marks **HL / LH / distribution ceiling**	If broken by strong Green → becomes **support (acts like Green)**
🟡 **Yellow**	Structural swing low / liquidity sweep / potential reversal	Buyers testing liquidity above	Strong rejection of lower liquidity → reversal signal	Marks **HL / sweep zone / accumulation base**	If broken by strong Red → becomes **resistance (acts like Red)**

Wick Behavior Cheat Sheet

This is where most traders screw up.

Wick Pattern	What It Means
Long upper wick	Liquidity above got hit
Long lower wick	Liquidity below got hit
Both long wicks	Stop-loss fight / liquidity battle
Small wick strong body	Real directional push

Swing Logic

Swing Location	Candle Meaning
Blue at swing high	Liquidity sitting above / distribution
Yellow at swing low	Liquidity sitting below / accumulation
Green after Yellow	Buyers took control
Red after Blue	Sellers took control

This is how the sequences work:

Accumulation

```
Red → Yellow → Green
```

Meaning

1. Sellers push down
2. Liquidity sweep
3. Buyers take control

Distribution

```
Green → Blue → Red
```

Meaning

1. Buyers push up
2. Liquidity trap
3. Sellers take control

The One Sentence Rule

Liquidity is hunted first.
Control decides direction second.

When Colors Change Role

This part is **important for reading traps**.

Situation	True Meaning
Yellow breaks down	liquidity sweep failed → becomes **bearish continuation**
Blue breaks up	resistance failed → **bullish continuation**
Red appears at swing low	often **fake breakdown**
Green appears at swing high	often **fake breakout**

Liquidity Candles (The Trap Zone)

Your **real signals usually come from these two**:

Candle	Function
🟡 Yellow	Liquidity hunt below
🔵 Blue	Liquidity hunt above

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These candles are **not entry signals**.
They are **warning signals**.

Entry comes from the **next candle reaction**.

Example:

```
Yellow → Green  = Long
Blue → Red      = Short
```

Long Wick Interpretation at Swing Points

Candle	Meaning
Yellow + long lower wick	Strong liquidity sweep
Blue + long upper wick	Strong liquidity trap
Red + long lower wick	Sellers losing power
Green + long upper wick	Buyers losing power

4-Color logic is basically this:

```
Yellow / Blue = liquidity
Green / Red = control
```

Liquidity gets hunted first.
Control decides direction after.

Quick Chart Reading (Fast Method)

Ask only 3 questions:

1️⃣ Where is liquidity?
Blue high / Yellow low

2️⃣ Who took control?
Green or Red after the liquidity candle

3️⃣ Is the move real?
Check wick size + follow through.